

Aged, Blind and Disabled Manual

Section: Categories of Eligibility

Policy Manual Number: 110.005

Chapter: ABD Income Overview

Legal Authority: 26 USC 6409; 42 CFR 435.601; 20 CFR 416.1102; 20 CFR 416.1103; 20 CFR 416.1111; 20 CFR 416.1123; State Plan, Supplement 11b to Attachment 2.6-A; Tenn. Comp. R. & Regs. 1200-13-20

1. Policy Statement

Income is any item an individual receives in cash or in-kind that can be used to meet his need for food or shelter. Income includes the receipt of any item which can be applied, either directly or by sale or conversion, to meet basic needs of food or shelter.

2. Types of Income

Income is either earned or unearned, and different rules apply to each. Either type may be cash or in-kind. Earned income is compensation an individual receives for the performance of services or as a result of his own efforts either as an employee or through self-employment. Unearned income is money an individual receives that is not the result of current work efforts, but accrues to an individual as the result of investment, inheritance, previous work efforts, etc. Income eligibility for the ABD TennCare Medicaid categories is determined according to the Social Security Administration (SSA) Supplemental Security Income (SSI) treatment of income rules.

a. Earned Income Includes:

- i.** Bonus;
- ii.** Combat Pay;
- iii.** Commission;
- iv.** Contractual;
- v.** Differential;
- vi.** Domestic Volunteer Act;
- vii.** Earned Income Tax Credit;
- viii.** Farming/Fishing;
- ix.** In-Kind Not Food/Shelter;
- x.** In-Kind Wages;
- xi.** Irregular or Infrequent Income;
- xii.** Military Allowances;
- xiii.** Older Americans Act;
- xiv.** Royalties/Honoraria;

- xv. Self-Employment;
- xvi. Severance Pay;
- xvii. Sheltered Workshop;
- xviii. Sick Pay/Disability Pay;
- xix. Tips;
- xx. Volunteers in Service to America/AmeriCorps;
- xxi. Wages; and
- xxii. Work Study.

b. Unearned Income Includes:

- i. Achieving a Better Life Experience (ABLE);
- ii. Adoption Subsidies;
- iii. Alimony;
- iv. Annuities;
- v. Canceled Debts;
- vi. Capital Gains;
- vii. Care and Contribution in Exchange for a Transferred Asset;
- viii. Cash Inheritance;
- ix. Cash Support;
- x. Child Support Arrearage;
- xi. Child Support;
- xii. Community Spouse Income Maintenance Allowance (CSIMA)/Dependent Income Maintenance Allowance (DIMA);
- xiii. Death Benefits;
- xiv. Education Income Not Work Study;
- xv. Excluded Unearned Income;
- xvi. Federal Emergency Management Agency (FEMA) Payment Disaster or Emergency;
- xvii. Federal Emergency Management Agency (FEMA) Payment Non Disaster or Emergency;
- xviii. Gambling, Prizes, and Awards;
- xix. General Assistance;
- xx. Gifts;
- xxi. In-Kind Support and Maintenance (ISM);
- xxii. Income Not Pursued;
- xxiii. Income-Producing Resource;
- xxiv. Interest Income;
- xxv. Irregular or Infrequent Income;
- xxvi. Jury Duty;
- xxvii. Lump Sum;
- xxviii. Long-Term Care (LTC) Insurance Payout;
- xxix. Pension;
- xxx. Protective Payee;
- xxxi. Railroad Retirement;
- xxxii. Reimbursements;

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- xxxiii.** Rental or Lease;
- xxxiv.** Royalties/Honoraria;
- xxxv.** Settlements and Restitutions;
- xxxvi.** Sick/Disability Pay;
- xxxvii.** Social Security Disability Benefit (SSDI);
- xxxviii.** Social Security Survivor or Retirement Benefit;
- xxxix.** Supplemental Security Income (SSI);
 - xl.** Temporary Assistance for Needy Families (TANF) Allotment;
 - xli.** Temporary Disability Insurance;
 - xlii.** Trusts;
 - xliii.** Unemployment Insurance;
 - xliv.** VA Apportioned;
 - xlvi.** VA Augmented Benefit;
 - xlvi.** VA Disability;
 - xlvi.** VA Education Grant;
 - xlvi.** VA Pension;
 - xlix.** VA Survivor (DIC); and
 - l.** Workers Compensation.

3. What is Not Income

Any item an individual receives that is not food or shelter or that cannot be used to obtain food or shelter is not income. When an individual receives items from the sale or exchange of property, the items received are not income, but are resources that have changed from one form to another. Items which are not income include:

- a.** Bills Paid by a Third Party;
- b.** Cash or In-Kind Items Received from the Sale, Exchange or Replacement of a Resource;
- c.** Child Tax Credit payments (received either as monthly advance payments or a one-time refund)
- d.** Income Tax Refunds;
- e.** Loan Proceeds (excluding interest);
- f.** Medical and Social Services (cash or in-kind);
- g.** Payments Made by Credit Life or Credit Disability Insurance;
- h.** Receipt of Certain Noncash Items (partially or totally excluded as a resource if retained the month after receipt);
- i.** Replacement of Income Already Received;
- j.** VA Aid and Attendance;
- k.** VA Payments for Unreimbursed Medical Expenses;
- l.** Vocational Rehabilitation; and
- m.** Weatherization Assistance.

4. When Income is Counted

Count income at the earliest of the following points:

- a. When it is received;
- b. When it is credited to an individual's account; or
- c. When it is set aside for her use.

An exception to this is when a regular periodic payment (such as wages, Social Security, or Veterans Affairs benefits) is received in a month other than the month of normal receipt. If there is no intent to interrupt the regular payment schedule, consider the funds to be income in the normal month of receipt.

When a payer advance dates a check because the regular payment date falls on a weekend or holiday, there is no intent to change the normal delivery date or to disrupt the existing relationship between the check receipt and SSI benefits.

When an individual's money goes to a bank by direct deposit, the funds may be posted to the account before or after the month they are payable. When this occurs, the funds count as income in the month of normal receipt.

When a third party payment results in an individual's receipt of In-Kind Support and Maintenance (ISM), determine the month in which the individual receives the ISM.

5. Amount Counted as Income

a. Garnishment or Other Withholding

Income includes amounts withheld because of a garnishment or other payments (such as payment of Medicare premiums). Income includes amounts withheld from income whether the withholding is purely voluntary, to repay a debt, or to meet a legal obligation.

Some items for which amounts may be withheld but considered received are:

- i. Federal, state or local income taxes;
- ii. Health or life insurance premiums;
- iii. Supplemental Medical Insurance (SMI) premiums;
- iv. Union dues;
- v. Penalty deductions for failure to report changes;
- vi. Loan payments;
- vii. Garnishments;
- viii. Legally obligated child support;
- ix. Legally obligated child support arrearage;

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- x. Legally obligated alimony;
- xi. Court ordered bankruptcy;
- xii. Mandatory taxes;
- xiii. Service fees charged on interest-bearing checking accounts;
- xiv. Inheritance taxes; or
- xv. Guardianship fees if presence of a guardian is not a requirement for receiving the income.

Note: Mandatory deductions such as FICA and withholding tax on pensions and other unearned income are not included in gross income for Institutional Medicaid and the Medicare Savings Programs (MSPs).

b. Expenses of Obtaining Income

Unearned income does not include any portion of a payment used for expenses incurred in receiving the income. The expense must have been an essential factor in obtaining the income. For example, if an individual is paid for damages he received in an accident, the individual's medical, legal, or other expenses connected with the accident may be deducted from the payment, as long as the expenses are verified.

The payment of personal income taxes is not an expense and should not be deducted from unearned income.

6. Counting Income

Eligibility is determined based on monthly income. All income must be converted to a monthly figure. The following formulas are used to convert income to a monthly amount.

- a. **Hourly Work:** Multiply the hourly wage by the number of hours the individual worked or is expected to work in a week to determine the weekly earnings figure.
- b. **Weekly Income:** Multiply weekly income by 4.3333 to determine monthly income.
- c. **Bi-Weekly Income:** Multiply the amount received every two weeks by 2.1666 to determine the monthly amount.
- d. **Semi-Monthly Income:** Add the two semi-monthly amounts together to determine the monthly amount.
- e. **Annual Income:** Divide the full amount of annual income by 12 to determine the average monthly amount.

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7. Loss of Income

Self-attested loss of income is accepted, unless there is reason to suspect the income is still being received by the individual. See the Verification policy.

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Version History

Revision Date	Section	Section Title	Page Number(s)	Reason for Revision	Reviser
03.20.2015				Publication	
03.18.2019	2.a-b.; 3.; 4.; 5.a-b.	Legal Authority; Earned Income Includes; Unearned Income Includes; What is Not Income; Garnishment or Other Withholding; Amount Counted as Income	1-5	Policy Clarification	RZ
03.18.2019	4.	Garnishment or Other Withholding	4-5	Non-Substantive Change	RZ
03.18.2019	7.	Loss of Income	5	Policy Change	RZ
05.01.2019	6.b.; 6.c.	Counting Income	5	Policy Clarification	TN
11.01.2021	3.c.	Legal Authority; Types of Income	3	Policy Clarification	MH